



Ministerial Salaries and Members' Pensions Act 1965

1965 CHAPTER 11

An Act to prescribe new rates of salary for Ministers of the Crown, for the Leader of the Opposition in the House of Commons, and for Mr. Speaker; to authorise the payment of salary to the Leader of the Opposition in the House of Lords and the Chief Opposition Whips in both Houses; to establish a contributory pensions scheme for Members of the House of Commons; to make further provision with respect to the pensions of Prime Ministers; and for purposes connected with the matters aforesaid.

[29th March 1965]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

PART I

MINISTERIAL AND OTHER OFFICIAL SALARIES

1.—(1) Subject to the provisions of this section, the annual amount of the salary payable to the holder of any Ministerial office specified in Schedule 1 to this Act shall be the amount stated in relation to that office in the second column of that Schedule. Revised rates of salaries for Ministers.

(2) The annual amount of the salary payable under this section—

- (a) to a Minister of State or the Chief Secretary to the Treasury; or
- (b) to the holder of the office of Lord President of the Council, Lord Privy Seal, Chancellor of the Duchy of

PART I

Lancaster or Paymaster General when not a Member of the Cabinet,

shall be such as the First Lord of the Treasury may determine, not exceeding in any case the amount stated in the second column of the said Schedule.

1937 c. 38.

(3) For the purposes of the Ministers of the Crown Act 1937, all salaries the amount of which is regulated by this section shall be treated as payable under that Act; but the sums payable out of moneys provided by Parliament under section 7 of that Act in respect of the salary of the Chancellor of the Duchy of Lancaster shall be reduced by the amount of the salary payable to him otherwise than out of moneys so provided in respect of his office.

(4) Any Minute of the Treasury regulating the remuneration of the Law Officers of the Crown which is in force at the commencement of this Act shall have effect as if the relevant salary stated in Schedule 1 to this Act were substituted for the salary specified in the Minute.

Salaries of
Leader and
Chief Whip of
Opposition in
both Houses.

2.—(1) The salary payable under the Ministers of the Crown Act 1937 to the Leader of the Opposition in the House of Commons shall be £4,500 instead of £3,000.

(2) There shall be paid under and subject to the said Act of 1937—

(a) to the Chief Opposition Whip in the House of Commons, an annual salary of £3,750;

(b) to the Leader of the Opposition in the House of Lords, an annual salary of £2,000;

(c) to the Chief Opposition Whip in the House of Lords, an annual salary of £1,500.

(3) The following provisions of the said Act of 1937, that is to say, the proviso to section 5 (provision against duplication of salary and pension under that Act) and section 7 (provision for payment of salaries and pension) shall apply to the salaries payable by virtue of subsection (2) of this section as they apply to the salary payable to the Leader of the Opposition in the House of Commons.

(4) In this section—

“Leader of the Opposition in the House of Commons” means the Leader of the Opposition as defined by section 10 of the said Act of 1937;

“Leader of the Opposition in the House of Lords” means that member of the House of Lords who is for the time being Leader in that House of the party in opposition to Her Majesty’s Government having the greatest numerical strength in the House of Commons;

“ Chief Opposition Whip ” means, in relation to either House of Parliament, the person for the time being nominated as such by the Leader of the Opposition in that House.

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(5) Any decision by the Speaker of the House of Commons under section 10(3) of the Ministers of the Crown Act 1937 that any party is or was the party in opposition to Her Majesty's Government having the greatest numerical strength in that House shall apply for the purposes of this section as it applies for the purposes of that Act ; and if any doubt arises as to who is or was at any material time the Leader in the House of Lords of that party, the question shall be decided for the purposes of this section by the Lord Chancellor, and his decision, certified in writing under his hand, shall be final and conclusive. 1937 c. 38.

3. The salary payable to Mr. Speaker under section 1 of the House of Commons (Speaker) Act 1832 shall be £8,500 instead of £5,000. Mr. Speaker's salary. 1832 c. 105.

PART II

THE MEMBERS' CONTRIBUTORY PENSIONS SCHEME

4.—(1) The provisions of this Part of this Act shall have effect for establishing a scheme of contributory pensions, financed by deductions from Parliamentary salary and by Exchequer contributions, for Members of the House of Commons who cease to be such after the commencement of this Part of this Act. Preliminary and administrative provisions.

(2) For the purposes of this Part of this Act there shall be constituted a fund, to be known as the Members' Contributory Pension Fund, which shall be under the control and management of the Trustees hereinafter mentioned ; and all pensions payable under this Part of this Act or other sums to be paid by the Trustees thereunder shall be paid out of the Fund, and all sums received by the Trustees shall be paid into the Fund.

(3) Trustees of the Fund shall be appointed and may be removed by Order of the House of Commons ; and the provisions of Schedule 2 to this Act (being provisions corresponding with the provisions in that behalf of the House of Commons Members' Fund Act 1939) shall have effect with respect to the number, qualification and proceedings of the Trustees, the distribution of functions between the Custodian Trustee and the Managing Trustees and the administration of the Fund. 1939 c. 49.

(4) The Trustees of the Fund may invest any property in their hands, whether at the time in a state of investment or not, in any investments whatsoever and wheresoever and may also from time to time vary any such investments.

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1952 c. 10.

(5) Subsection (2) of section 385 of the Income Tax Act 1952 (exemption from tax in respect of income of the House of Commons Members' Fund) shall apply in relation to the Fund.

Contributions
from
Parliamentary
remuneration.

5.—(1) Subject to the provisions of this section, there shall be deducted from each payment of salary made pursuant to any resolution of the House of Commons relating to the remuneration of Members, being a payment made in respect of any period after 16th October 1964, a sum calculated at the rate of £150 per annum; and all sums so deducted shall be paid into the Fund.

(2) No sums shall be deducted under this section from salaries payable pursuant to any such resolution to Mr. Speaker, or to any person who is or has been Prime Minister and First Lord of the Treasury, in respect of any period after the date on which he is elected or appointed as such.

(3) If any salary from which a deduction is required to be made under this section is not drawn, there shall be set aside, out of moneys available for the payment, a sum equal to the relevant deduction, and any sum so set aside shall be dealt with as if it were a sum so deducted.

(4) Any sums which, pursuant to any resolution of the House of Commons of the present Session, have been deducted from payments of salary for any period before the passing of this Act, or set aside out of moneys available for the payment of any such salary, shall, in so far as they would have fallen to be so deducted or set aside under this section if it had been in force at the material time, be treated as sums deducted or set aside under this section; and any sum so deducted which would not in that event have fallen to be deducted under this section shall be paid to the Member from whose salary it was deducted.

Exchequer
contributions.

6.—(1) Subject to the provisions of this Act, there shall be paid into the Fund out of moneys provided by Parliament in each year—

- (a) an Exchequer contribution of an amount equal to the total of the sums payable into the Fund in that year under section 5 of this Act; and
- (b) an additional contribution (the initial deficiency contribution) of the amount prescribed by or under this section.

(2) The annual amount of the initial deficiency contribution shall in the first instance be £132,000; and the contribution shall,

subject to subsection (4) below, be payable for the period of twenty-five years from the commencement of the Act, and no longer.

(3) The Government Actuary shall from time to time, as requested by the Treasury, make a report to the Trustees and the Treasury on the amount of the deficiency in the Fund resulting from the inclusion in the service which is reckonable for pension under the following provisions of this Act of service in respect of which no contributions were payable under section 5 of this Act or subsection (1)(a) of this section.

(4) On the receipt of any such report, the Treasury may by order made by statutory instrument increase or reduce the amount prescribed by this section as the annual amount of the initial deficiency contribution or the period for which that contribution is payable.

(5) An order under subsection (4) above shall be of no effect until approved by resolution of the House of Commons.

7.—(1) Subject to the provisions of this section, a person who, after the commencement of this Act, ceases to be a Member of the House of Commons shall be entitled to receive a pension under this section if he has completed ten years' reckonable service when he so ceases and has then attained or thereafter attains the age of sixty-five years. Pensions of Members.

(2) No pension shall be payable under this section to a person who has been Prime Minister and First Lord of the Treasury or Speaker of the House of Commons or who is or has been Lord Chancellor.

(3) The annual amount of the pension payable under this section shall be a sum calculated by reference to the number of complete years of reckonable service of the Member in question, as follows:—

(a) for each such year up to fifteen, £60 ;

(b) for each such year exceeding fifteen but not exceeding forty-five, £24.

(4) A pension under this section shall continue for the life of the person to whom it is payable but shall not be payable in respect of any period during which he is again a Member of the House of Commons or is a candidate for election thereto ; and for the purposes of this subsection a person who ceases to be a Member in consequence of the dissolution of Parliament shall be treated as a candidate for election unless and until he gives notice in writing to the Trustees that he is not seeking re-election.

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(5) In this Part of this Act the expression "reckonable service" means, subject to the provisions of sections 11 and 13 of this Act relating to the refund of contributions and the transfer of pension rights,—

- (a) service as a Member of the House of Commons after 16th October 1964, being service in respect of which contributions are paid under section 5 of this Act;
- (b) service as a Member of that House before that date by a person who is a Member of that House at any time after that date;

but if in any case the service described in paragraph (b) above exceeds ten years, the excess shall be disregarded.

(6) For the purpose of calculating the number of complete years of a Member's reckonable service, all periods of reckonable service shall be aggregated.

Pensions for
widows.

8.—(1) Subject to the provisions of this section, the widow of a man who dies after the commencement of this Act shall be entitled to receive a pension under this section if her late husband, at the time of his death,—

- (a) was receiving a pension under section 7 of this Act; or
- (b) being or having been a Member of the House of Commons, had completed ten years reckonable service.

(2) The annual amount of a widow's pension shall be one-half of the annual amount of the pension which her late husband was receiving or entitled to receive or, as the case may be, of the pension which he would have been entitled to receive if he had attained the age of sixty-five years, or attained that age and ceased to be a Member of the House of Commons, immediately before his death.

(3) Subject to subsection (4) below, a pension under this section shall continue for the life of the widow or until her remarriage, but in the case of remarriage the Trustees may, if they think fit, at any time direct that the pension be restored if satisfied that the subsequent marriage has been terminated or that there are exceptional reasons for the payment of the pension notwithstanding the subsistence of that marriage.

(4) No pension shall be paid under this section to a widow who, at her husband's death, was cohabiting with another person, and if a widow entitled to such a pension cohabits with another person the pension shall cease to be payable:

Provided that the Trustees may, if they think fit, direct that the pension shall be paid or restored, as the case may be, if satisfied that the cohabitation has been terminated and that there are exceptional reasons for the payment of the pension.

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(5) Where a man dies in circumstances in which, apart from this subsection, a widow's pension would be payable to a woman married by him within the year ending with his death, then if—

(a) there are no children of that marriage ; and

(b) it appears to the Trustees that his death within the year was to be foreseen by him at the date of the marriage, the Trustees may direct that no widow's pension shall be payable under this section.

9.—(1) Subject to the provisions of this section, the widower Pensions for of a woman who dies after the commencement of this Act shall certain be entitled to receive a pension under this section if, at the widowers. time of her death,—

(a) he was incapable by reason of age or bodily or mental infirmity of earning his own living and was wholly or mainly dependent on her ; and

(b) the condition set out in paragraph (a) or paragraph (b) of subsection (1) of section 8 of this Act was satisfied in her case.

(2) The annual amount of a widower's pension under this section shall be the same as that of a widow's pension, and subsection (2) of the said section 8 shall apply accordingly with the necessary modifications.

(3) A pension under this section shall continue for the life of the widower, but may be terminated by direction of the Trustees in the event of his remarriage or of his ceasing to be incapable as aforesaid.

(4) A pension terminated under subsection (3) above may be restored by direction of the Trustees if at any time the marriage upon which it was terminated comes to an end or the pensioner again becomes incapable as aforesaid, or if the Trustees are satisfied that for exceptional reasons it is proper to restore the pension.

(5) Subsection (5) of section 8 of this Act shall apply for the purposes of this section as if for references to a man, a widow's pension and a woman there were substituted references to a woman, a widower's pension and a man.

10.—(1) Subject to the provisions of this section, a children's Children's pension shall be paid thereunder for the benefit of any relevant pensions. child or children of a person who dies after the commencement of this Act being or having been married, if at the time of the death the condition set out in paragraph (a) or paragraph (b) of subsection (1) of section 8 of this Act was satisfied in the case of the deceased.

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(2) In this section "child", in relation to any person, includes an illegitimate child, a step-child or an adopted child, and "relevant child" means (subject to the provisions of Schedule 3 to this Act) any child of the deceased, or of any wife or husband of the deceased, who—

(a) is under sixteen years of age ; or

(b) is under twenty-two years of age, and is within his period of full-time education as defined by the said Schedule 3.

(3) Subject to subsection (4) below, the annual amount of a children's pension under this section shall be a sum equal to one-eighth of the annual amount of the personal pension of the deceased for each relevant child not exceeding four ; and for the purposes of this section "the personal pension" means the pension to which the deceased was entitled under section 7 of this Act or, as the case may be, to which he would have been so entitled if he had attained the age of sixty-five years, or attained that age and ceased to be a member of the House of Commons, immediately before his death.

(4) In any of the following circumstances, that is to say—

(a) where the deceased left no widow or widower ;

(b) where the deceased left a widow or a widower entitled to a pension under section 9 of this Act, and that widow or widower has died,

the annual amount of the children's pension shall (where there are not more than three relevant children) be increased by one-eighth of the personal pension of the deceased.

(5) Where the deceased left a widow, or a widower entitled to a pension under section 9 of this Act, and either—

(a) in the case of a widow, the widow's pension under section 8 of this Act ceases to be payable, or is not payable, in consequence of her remarriage or under subsection (4) of that section ; or

(b) in the case of a widower, the widower's pension ceases to be payable in consequence of his remarriage,

any children's pension under this section shall cease to be payable or, as the case may be, shall not be payable unless and until the Trustees for exceptional reasons direct that the children's pension shall be payable ; and if the Trustees so direct they may, if they think fit, further direct that subsection (4) above shall apply as if the widow or widower had died.

(6) A children's pension under this section shall be paid to or distributed between such person or persons as the Trustees may from time to time direct, and shall be applied by that person

or those persons, without distinction, for the benefit of the relevant children or such of them as the Trustees may from time to time direct.

11.—(1) Subject to subsection (2) of this section, any contributions paid under section 5 of this Act by deduction from the salary of a Member of the House of Commons (in this section referred to as “the contributor”) shall be refunded by the Trustees with interest at the rate prescribed by this section from the dates on which they were respectively paid— Refund of contributions.

(a) if the contributor dies while a Member of that House or after ceasing to be such a Member, and in either case no widow's pension, widower's pension or children's pension is or may be payable in respect of him under this Part of this Act ;

(b) if the contributor, not having become entitled to a pension under section 7 of this Act, has ceased to be a Member of that House and either—

(i) he has attained the age of sixty-five years, whether before or after ceasing to be a Member ; or

(ii) five years have elapsed since he ceased to be a Member ;

and in either case he gives notice to the Trustees requesting the refund ;

(c) if the contributor becomes Prime Minister and First Lord of the Treasury, Speaker of the House of Commons or Lord Chancellor.

(2) Where the contributor had become entitled to a pension under section 7 of this Act there shall be deducted from any sum payable to or in respect of him under subsection (1) of this section the amount paid or accrued on account of that pension.

(3) If a contributor to whom contributions have been refunded by virtue of subsection (1)(b) of this section again becomes a Member of the House of Commons, he may—

(a) within the period of three months beginning with the date of his election, at his option ; or

(b) after the expiration of that period, if the Trustees so allow,

repay to the Trustees, with interest at the rate prescribed by this section, the sum so paid to him ; and for the purposes of this section the amount so repaid (inclusive of interest) shall be treated as a contribution paid, at the time of the repayment, by deduction from his salary under section 5 of this Act.

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(4) Any sum to be paid to the Trustees under subsection (3) of this section may, if the Trustees so allow, be paid by instalments over such period not exceeding three years as the Trustees think fit.

(5) For the purpose of calculating reckonable service under section 7(5) of this Act, contributions refunded and not repaid to the Trustees under this section shall be treated as not having been paid.

(6) Any interest payable under this section shall be compound interest at the rate of 3 per cent per annum, calculated with annual rests.

Application
of pensions.

12.—(1) A pension under this Part of this Act shall not be assignable or chargeable with debts or other liabilities.

1959 c. 72.

(2) Section 138 of the Mental Health Act 1959 (which enables the pay or pension of a person who is incapacitated by mental disorder from managing his affairs to be applied for the benefit of himself or his dependants instead of being paid to him) shall apply in relation to a pension payable out of the Members' Contributory Pension Fund as it would apply if the pension were payable directly out of moneys provided by Parliament.

Transfer to
and from
other pension
schemes.

13.—(1) The Trustees may, at the request of any person who has been a Member of the House of Commons and has not become entitled to a pension under section 7 of this Act, pay into or for the purposes of any fund or scheme, being—

1952 c. 10.

(a) a superannuation fund within the meaning of section 379 of the Income Tax Act 1952 (approved superannuation funds); or

(b) a fund or scheme approved by the Commissioners of Inland Revenue for the purposes of this section, sums representing the value of that person's accrued pension rights in the Members' Contributory Pension Fund, being the sums certified as such by, or calculated in accordance with tables prepared by, the Government Actuary.

(2) Any sum payable out of the Fund under subsection (1) above shall be treated for the purposes of the Income Tax Acts as having been paid in commutation of an annuity payable by a superannuation fund within the meaning of the said section 379 and the Fund shall be treated as such a superannuation fund for the purposes of any regulations under that section.

(3) The Trustees may, at the request of any person who is a Member of the House of Commons, receive any sums payable by way of transfer value in respect of him out of any such fund or scheme as is mentioned in subsection (1) above or under any enactment authorising the transfer of pension rights.

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(4) Where any sums are paid by the Trustees under subsection (1) above in respect of any person, any service of his as a Member of the House of Commons before the date on which the payment is made shall cease to be reckonable service and any contributions previously paid under section 5 of this Act by deduction from his salary shall be treated for the purposes of section 11 of this Act as not having been paid.

(5) Where any sums are received by the Trustees in respect of any person under subsection (3) above—

(a) he shall be treated as having such period of reckonable service as the Trustees may determine, being the period certified by, or calculated in accordance with tables prepared by, the Government Actuary as appropriate in relation to the sums so received ;

(b) for the purposes of section 11 of this Act, the sums so received by the Trustees, so far as in the opinion of the Trustees they represent his own contributions, shall be treated as if they were contributions to the Fund paid, at the same times as the first-mentioned contributions, by deduction from his salary under section 5 of this Act.

(6) A person who serves as a Member of the House of Commons shall be treated for the purposes of section 2 of the Superannuation (Miscellaneous Provisions) Act 1948 (pensions of persons transferring to different employment) as employed in employment of a class not specified in subsection (2) of that section. 1948 c. 33.

14.—(1) Any sums payable by the Trustees under this Part of this Act to or to the personal representatives of a person who has died may be paid, on production of probate, confirmation or letters of administration granted in respect of his estate by any court in the United Kingdom, to the person to whom the probate, confirmation or letters of administration were granted, or as directed by that person. Payments due to deceased members.

(2) If, on the death of a person who is or has been a Member of the House of Commons—

(a) the Trustees are liable to pay to him or his personal representatives a sum which, if any part thereof due by way of interest is disregarded, does not exceed £500 ; and

(b) a grant of probate, confirmation or letters of administration in respect of his estate is not produced to the Trustees within such period, not being less than one month after his death, as the Trustees think reasonable for the purpose,

then, subject to subsection (3) below, the Trustees may after the end of that period pay the whole or any part of that sum

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to any person who, in their opinion, would have been entitled to the beneficial interest therein if the Member had died intestate in respect of that sum; and that person and not the Trustees shall thereafter be liable to account for the amount paid to him under this subsection.

(3) If the Trustees receive notice in writing of any claim against the Member's estate at any time before they have made a full payment under subsection (2) above, then, except where the sum to be paid appears to them to be *bona vacantia*, they shall not make any, or as the case may be any further, payment under that subsection to any person other than the Member's personal representatives until the claim is satisfied or withdrawn.

Alteration of
rates of
contribution
or benefit.

15.—(1) If it appears from the report of the Government Actuary under Schedule 2 to this Act that there is a deficiency or surplus in the operation of the scheme established by this Part of this Act then, subject to the following provisions of this section, the rates of contribution under section 5 of this Act may be increased, or, as the case may be, reduced in accordance with those provisions or all or any of the rates of benefit may be reduced or, as the case may be, increased in accordance with those provisions.

(2) An alteration of the rate of contributions under section 5 of this Act may be made by Resolution of the House of Commons.

(3) An alteration of all or any of the rates of benefit may be made by order of the Treasury and any such order may make different provisions for different cases.

(4) The amount by which any rate is altered under this section shall not exceed one fifth of the rate in force immediately before the passing of the Resolution or making of the order altering the rate.

(5) The power of the Treasury to make orders under this section shall be exercisable by statutory instrument and any such order shall be of no effect unless approved by resolution of the House of Commons.

PART III

MISCELLANEOUS AND GENERAL

Pension of
Prime
Minister.
1937 c. 38.

16.—(1) The amount of the pension payable under section 4(2) of the Ministers of the Crown Act 1937 to a person who has been Prime Minister and First Lord of the Treasury shall, in the case of a person who ceases to hold that office after the commencement of this Act, be £4,000 instead of £2,000.

PART III

(2) On the death of a person who at any time after the commencement of this Act holds or has held office as Prime Minister and First Lord of the Treasury, the provisions of sections 8 to 10 of this Act shall apply as if the deceased had been entitled at the time of his death to a pension under section 7 of this Act of an annual amount equal to two-thirds of the pension to which he was entitled or prospectively entitled under the said section 4(2), but subject to the following modifications, that is to say—

- (a) any pension under those provisions shall be paid out of the Consolidated Fund and not out of the Members' Contributory Pension Fund ; and
- (b) for any reference in those provisions to the Trustees there shall be substituted a reference to the Treasury.

17.—(1) The Treasury may make regulations directing that, subject to such modifications, adaptations and exceptions as may be specified in the regulations, all or any of the provisions of the Pensions (Increase) Acts 1920 to 1962 shall apply to a pension payable under section 4(2) of the Ministers of the Crown Act 1937 to a person who has ceased to hold office as Prime Minister and First Lord of the Treasury before the commencement of this Act. Increase of pensions of past Prime Ministers.
1937 c. 38.

(2) The power of the Treasury to make regulations under this section shall be exercisable by statutory instrument, and any statutory instrument made by virtue of this section shall be subject to annulment in pursuance of a resolution of either House of Parliament.

(3) Any regulations made under this section may, whenever made, take effect as from the commencement of this Act.

(4) This section and the Pensions (Increase) Acts 1920 to 1962 may be cited together as the Pensions (Increase) Acts 1920 to 1965.

18.—(1) For the purposes of Part III of the Finance Act 1956 (retirement and other annuities), so much of the salary of the holder of any office to which this section applies who is also a Member of the House of Commons as is equal to the difference between the remuneration payable under any resolution of the House of Commons to a Member who is, and the remuneration so payable to a Member who is not, the holder of such an office shall be treated as remuneration from the office of Member and not from the office to which this section applies, and shall accordingly be treated for the purposes of Part I of Schedule 3 to that Act as pensionable emoluments from the office of Member. Annuity premiums of Ministers and other officers.
1956 c. 54.

PART III
1957 c. 20.

(2) This section applies to any Ministerial office within the meaning of section 2 of the House of Commons Disqualification Act 1957, the offices of Chairman and Deputy Chairman of Ways and Means and the offices of Leader, and Chief Whip, of the Opposition in the House of Commons within the meaning of section 2 of this Act.

**Provisions
relating to
Northern
Ireland.**

19.—(1) In this Act “enactment” includes an enactment of the Parliament of Northern Ireland.

(2) Any Act of the Parliament of Northern Ireland making provision, in relation to the House of Commons of Northern Ireland, for a scheme of contributory pensions corresponding to the scheme for which provision is made by Part II of this Act may direct that subsection (6) of section 13 of this Act shall apply to members of that House as it applies to members of the House of Commons.

**Minor and
consequential
amendments
and repeals.**

20.—(1) The enactments described in Schedule 4 to this Act shall have effect subject to the amendments specified in column 2 of that Schedule, being minor amendments and amendments consequential on the foregoing provisions of this Act.

1869 c. 60.
1961 c. 30.

(2) The Political Offices Pension Act 1869 and the Department of Technical Co-operation Act 1961 shall cease to have effect.

(3) The enactments described in Schedule 5 to this Act are hereby repealed to the extent specified in column 3 of that Schedule.

**Interpretation,
short title and
commence-
ment.**

21.—(1) Any reference in this Act to another enactment is a reference thereto as amended, and includes a reference thereto as applied, by or under any other enactment.

(2) This Act may be cited as the Ministerial Salaries and Members' Pensions Act 1965.

(3) The provisions of this Act other than this section shall come into force as follows, that is to say—

(a) Part II (including the Schedules therein referred to) and sections 18 and 19 shall be deemed to have come into force on 16th October 1964 ;

(b) the remaining provisions shall come into force on 1st April 1965 ;

and any reference in any provision of this Act to the commencement of this Act shall be construed as a reference to the coming into force of that provision.

SCHEDULES

SCHEDULE 1

Section 1.

MINISTERIAL SALARIES

<i>Minister</i>	<i>Salary £</i>
Prime Minister and First Lord of the Treasury	14,000
Chancellor of the Exchequer	8,500
Secretary of State	8,500
Minister of Agriculture, Fisheries and Food	8,500
Minister of Aviation	8,500
Minister of Health	8,500
Minister of Housing and Local Government	8,500
Minister of Labour	8,500
Minister of Land and Natural Resources	8,500
Minister of Overseas Development	8,500
Minister of Pensions and National Insurance	8,500
Postmaster General	8,500
Minister of Power	8,500
Minister of Public Building and Works	8,500
Minister of Technology	8,500
President of the Board of Trade	8,500
Minister of Transport	8,500
Lord President of the Council	8,500
Lord Privy Seal	8,500
Chancellor of the Duchy of Lancaster	8,500
Paymaster General	8,500
Minister of State	8,500
Chief Secretary to the Treasury	8,500
Attorney General	13,000
Solicitor General	9,000
Lord Advocate	8,000
Solicitor General for Scotland	5,625
Parliamentary Secretary to the Treasury	5,625
Financial Secretary to the Treasury	5,625
Captain of the Honourable Corps of Gentlemen-at-Arms	4,500
Parliamentary Under-Secretary of State	3,750

SCH. 1	Minister	Salary £
	Parliamentary Secretaries—	
	Ministry of Agriculture, Fisheries and Food	3,750
	Ministry of Aviation	3,750
	Ministry of Health	3,750
	Ministry of Housing and Local Government	3,750
	Ministry of Labour	3,750
	Ministry of Land and Natural Resources	3,750
	Ministry of Overseas Development	3,750
	Ministry of Pensions and National Insurance	3,750
	Ministry of Power	3,750
	Ministry of Public Building and Works	3,750
	Ministry of Technology	3,750
	Board of Trade	3,750
	Ministry of Transport	3,750
	Assistant Postmaster General	3,750
	Captain of the Queen's Bodyguard of the Yeomen of the Guard	3,300
	Treasurer of Her Majesty's Household	3,300
	Comptroller of Her Majesty's Household	3,000
	Vice-Chamberlain of Her Majesty's Household	3,000
	Junior Lord of the Treasury	3,000
	Assistant Whip, House of Commons	3,000
	Lord in Waiting	3,000

Section 4.

SCHEDULE 2

PROVISIONS RELATING TO THE TRUSTEES AND THE FUND

General Provisions

1906 c. 55.

1. The Trustees shall be not more than seven in number, of whom one (being the Public Trustee or a corporation entitled by rules made under subsection (3) of section 4 of the Public Trustee Act 1906 to act as Custodian Trustee) shall be Custodian Trustee of the Fund, and the remainder shall be Managing Trustees.

2. No person shall be appointed to be a Managing Trustee unless he is a Member of the House of Commons and, on ceasing to be a Member of the House of Commons, a Managing Trustee shall vacate his office.

3. The Managing Trustees may act by a majority of those present at any meeting of the Managing Trustees at which a quorum is present.

4. The procedure of the Trustees shall subject to the provisions of this Act be such as the Trustees may determine, and the quorum for any meeting of the Managing Trustees shall be three.

SCH. 2

5. A direction of the Managing Trustees shall continue in force until revoked by a subsequent direction of the Managing Trustees, notwithstanding any changes in the persons who are Managing Trustees and notwithstanding that, by reason of a Dissolution of Parliament or any other reason, there are for a time no Managing Trustees.

Distribution of Functions Between Custodian Trustee and Managing Trustees

6. All sums payable to or out of the income or capital of the Fund shall be paid to or by the Custodian Trustee, and the assets of the Fund shall be vested in him as if he were sole Trustee.

7. The management of the Fund and the exercise of any power or discretion exercisable in relation thereto shall be vested in the Managing Trustees.

8. As between the Custodian Trustee and the Managing Trustees, the Custodian Trustee shall have the custody of all securities and documents of title relating to the property of the Fund but the Managing Trustees shall have free access thereto and be entitled to take copies thereof or extracts therefrom.

9. The Custodian Trustee shall concur in and perform all acts necessary to enable the Trustees to exercise their powers of management or any other power or discretion vested in them, unless the matter in which he is requested to concur is a breach of trust or involves a personal liability upon him in respect of calls or otherwise, but unless he so concurs the Custodian Trustee shall not be liable for any act or default on the part of the Managing Trustees or any of them.

10. The Custodian Trustee, if he acts in good faith, shall not be liable for accepting as correct and acting upon the faith of any statement of the Managing Trustees as to any matter of fact, nor for acting upon any legal advice obtained by the Managing Trustees independently of the Custodian Trustee, nor for acting in accordance with any directions given to him in writing and purporting to be signed by or on behalf of the Managing Trustees.

Administrative Provisions

11. The Trustees may employ such officers and servants, if any, as they think necessary in connection with the management of the Fund ; and the expenses of managing it, including the fees of the Custodian Trustee, any fee payable to the Comptroller and Auditor General and the remuneration and pensions, or contributions towards the pensions, payable to or in respect of officers and servants employed by the Trustees, shall be defrayed out of the Fund.

12. The Custodian Trustee may charge such fees as he is authorised to charge under the Public Trustee Act 1906.

1906 c. 55.

13. The Trustees shall keep proper accounts, including separate accounts of that proportion of the pensions paid and other payments made out of the Fund which is attributable to service in

SCH. 2 respect of which no contributions were payable under section 5 or section 6(1)(a) of this Act and of the corresponding proportion of the initial deficiency contributions as certified by the Government Actuary, and shall prepare in respect of each financial year of the Fund statements of account in such form and in such manner as the Comptroller and Auditor General may direct.

14. The Comptroller and Auditor General shall examine and certify every statement of account prepared under paragraph 13 above and shall lay a copy of every such statement, together with his report thereon, before the House of Commons.

15. The Government Actuary shall make a report to the Trustees and the Treasury on the general financial position of the Fund as at the end of the fifth financial year after the commencement of this Act and at the end of each succeeding fifth financial year or such earlier financial year as may be prescribed by order of the Treasury, and the report shall include a valuation of the assets and liabilities of the Fund and an assessment of the adequacy of the rates of contribution in relation to the benefits payable from the Fund and may include recommendations as to the future operation of the scheme established by Part II of this Act; and every such report shall be laid before the House of Commons.

16. An order of the Treasury under paragraph 15 above shall not be made except upon an application of the Trustees or after consultation with them, and any such order shall be made by statutory instrument which shall be subject to annulment in pursuance of a resolution of the House of Commons.

Section 10.

SCHEDULE 3

PERSONS QUALIFYING FOR CHILDREN'S PENSIONS

1. In this Schedule "the deceased" means the person on whose death a children's pension is or may be payable under section 10 of this Act, and "child" has the same meaning as in that section.

2. For the purposes of the said section 10 a child shall be treated as within his period of full-time education while either—

(a) he is receiving full-time instruction at any university, college, school or other educational establishment; or

(b) he is undergoing full-time or substantially full-time training for any trade, profession or vocation;

and any question arising under this paragraph shall be determined by the Trustees.

3. A child shall not be treated as a relevant child for the purposes of the said section 10—

(a) as being an illegitimate or adopted child of the deceased, if he was born or adopted, as the case may be, after the termination of the marriage or last marriage of the deceased;

(b) as being the child of a wife of the deceased, if he was born or became her child after the termination of her marriage with the deceased;

SCH. 3

unless, in the case of an adopted child falling within sub-paragraph (a) or (b) above, the Trustees, being satisfied that before the material event therein mentioned the deceased (or as the case may be the deceased and his wife) had already formed the intention of adopting the child and that the child was then wholly or mainly dependent on the deceased, direct that the child shall be treated as a relevant child.

4. A child shall not be treated as a relevant child for the purposes of the said section 10 as being—

(a) the illegitimate child of the deceased ; or

(b) a child of a wife of the deceased,

unless the child was wholly or mainly dependent on the deceased at the time of his death.

5. A female child shall not be treated as a relevant child for the purposes of the said section 10, if, at the date of the death of the deceased, she is married to or co-habiting with another person ; and a female child who thereafter marries or co-habits with another person shall thereupon cease to be a relevant child unless and until the Trustees, being satisfied that the marriage or co-habitation has been terminated or that for exceptional reasons it is proper to do so, direct that she be so treated.

6. Where the deceased was a woman, no child of any marriage of hers shall be a relevant child for the purposes of the said section 10 if the father of the child was living at the death of the deceased unless the Trustees for exceptional reasons direct that the child be so treated.

SCHEDULE 4

Section 20.

MINOR AND CONSEQUENTIAL AMENDMENTS

Enactment

Amendment

The House of Commons (Speaker)
 Act 1832 (2 & 3 Will. 4. c. 105).

In section 1 for the words " six thousand pounds " there shall be substituted the words " eight thousand five hundred pounds ".

The Ministers of the Crown Act
 1937 (1 Edw. 8 and 1 Geo. 6.
 c. 38).

In section 3, in subsection (2) for the words " this section " in the first place where those words occur there shall be substituted the words " subsection (2)(b) of section 1 of the Ministerial Salaries and Members' Pensions Act 1965 " and in the second place where those words occur there shall be substituted the words " the said subsection (2)(b) ".

CH. 11 *Ministerial Salaries and Members' Pensions*
Act 1965

SCH. 4*Enactment**Amendment*

- | | |
|---|---|
| <p>The Minister of Works Act 1942
 (5 & 6 Geo. 6. c. 23).</p> | <p>In section 3(1) for the words "to the Minister and to the secretaries, officers and servants" there shall be substituted the words "to the secretaries (other than any Parliamentary Secretary) and to the officers and servants".</p> |
| <p>The Minister of Town and Country Planning Act 1943
 (6 & 7 Geo. 6. c. 5).</p> | <p>In section 3(2) for the words "secretaries, officers and servants", in the second place where they occur, there shall be substituted the words "secretaries (other than any Parliamentary Secretary) and to the officers and servants".</p> |
| <p>The Ministry of Fuel and Power Act 1945 (8 & 9 Geo. 6. c. 19).</p> | <p>In section 3(3) for the words "salary of the Minister and his expenses" there shall be substituted the words "expenses of the Minister".</p> |
| <p>The Income Tax Act 1952 (15 & 16 Geo. 6 and 1 Eliz. 2. c. 10).</p> | <p>In section 385(2), for the words "the said fund" there shall be substituted, in the first place where those words occur, the words "the House of Commons Members' Fund and of the House of Commons Contributory Pensions Fund", and, in the second place where those words occur, the words "those Funds".</p> |

SCHEDULE 5

Section 20.

ENACTMENTS REPEALED

Chapter	Short Title	Extent of Repeal
4 & 5 Will. 4. c. 24.	The Superannuation Act 1834.	Section 6.
4 & 5 Will. 4. c. 70.	The House of Commons Officers Act 1834.	Section 1.
32 & 33 Vict. c. 60.	The Political Offices Pension Act 1869.	The whole Act.
1 Edw. 8 & 1 Geo. 6. c. 38.	The Ministers of the Crown Act 1937.	Section 1. Section 3(1) and (3). Section 4(1) and in the proviso to section 4(2), the words "any pension under the Political Offices Pension Act 1869, or". Section 5 from "and if" to the end of the section. In section 10(1) the definition of "Parliamentary Under-Secretary". Schedules 1 and 2.
2 & 3 Geo. 6. c. 38.	The Ministry of Supply Act 1939.	Section 1(3).
5 & 6 Geo. 6. c. 23.	The Minister of Works Act 1942.	Section 3(2).
6 & 7 Geo. 6. c. 5.	The Minister of Town and Country Planning Act 1943.	Section 3(1).
7 & 8 Geo. 6. c. 46.	The Ministry of National Insurance Act 1944.	Section 3(1) and (2) and in section 3(3), the word "other", in the first place where it occurs.
8 & 9 Geo. 6. c. 19.	The Ministry of Fuel and Power Act 1945.	In section 3(2) the words from "(a) to the Minister" to "Minister and" and the words from "and for the purposes" to the end of the subsection.
9 & 10 Geo. 6. c. 31.	The Ministers of the Crown (Transfer of Functions) Act 1946.	Section 7.
9 & 10 Geo. 6. c. 55.	The Ministerial Salaries Act 1946.	Section 1, and in section 2 the words from "and shall be of an amount" to the end of the section.

SCH. 5

Chapter	Short Title	Extent of Repeal
5 & 6 Eliz. 2. c. 47.	The Ministerial Salaries Act 1957.	Sections 1 and 4(1). Schedule 1.
9 & 10 Eliz. 2. c. 6.	The Ministers of the Crown (Parliamentary Secretaries) Act 1960.	Section 3. In Schedule 1, in the amend- ment of the Ministry of National Insurance Act 1944, the words from "in subsection (1)" to "Parlia- mentary Secretary" and ", and the amendments of section 3 of the Ministry of Fuel and Power Act 1945 and the Ministerial Salaries Act 1946.
9 & 10 Eliz. 2. c. 30.	The Department of Tech- nical Co-operation Act 1961.	The whole Act.
1964 c. 98.	The Ministers of the Crown Act 1964.	In Schedule 2, Part II (in Schedule 2 to the House of Commons Disqualification Act 1957 as amended) the entry "Secretary for Tech- nical Co-operation".